Memo: what to do with risky COD orders

To: Founder · **From:** Hitesh Saini · **Date:** 31 October 2026

Bottom line: don't cancel risky orders; **ask first**. Checking every COD order before it ships, and asking the risky ones to confirm on WhatsApp, would have shipped **a third fewer returns** last month while losing about **4 genuine orders**. The Operations proposal would have lost **35 genuine orders and ~₹93,000 a month**.

1. What the data showed (2,018 COD orders, Apr-Sep 2026)

1. **The address tells you more than the place.** Orders with a junk address ("xyz", ".", "call me", or just the city name) came back **62%** of the time, vs **23%** for addresses with a house/flat number. Junk address *and* a fake name ("asdf", "Test Order"): **78%**.
2. **"Bad pincodes" are mostly bad luck.** Most pincodes have only 1-2 orders. The 157 pincodes that looked bad before September returned **25.6%** in September, the same as everywhere else (26.1%). Blocking COD there would turn away genuine buyers for nothing. Cities do show real patterns: Gorakhpur 62%, Darbhanga 59%, Patna 48% vs Mumbai and Pune 18%.
3. **A return costs less than you'd think; a lost customer costs more.** A return costs **₹169** (₹65 + ₹65 + ₹25 + damaged stock). A delivered ₹649 order earns **₹312**, and losing a genuine new customer costs another **₹300** to replace. **Shipping a COD order is worth it until it has a 65% chance of coming back**, and only ~4% of orders are that risky. The whole RTO problem is worth about **₹75,000 a month**.
4. Customers who refused **2 earlier** orders refuse again **76%** of the time. **11 internal "Test Order"** shipments went out; 9 came back.

2. Recommended rules, and what they'd have done to September

Action	When	September orders	Actually came back
✅ Ship as-is	risk below 25%	189 (57%)	12%
💳 Offer ₹50 off to pay online (no reply in 12h → ships COD)	25-35%	56 (17%)	34%
💬 Ship only after WhatsApp YES (no reply in 24h → cancel)	35-75%	45 (14%)	44%
⛔ Hold: fix address / pay online, else cancel	junk address, fake name, 2+ refusals, >75%	39 (12%)	62%

Rules always on: **a first-time buyer is never held on risk alone** (they get a confirmation); duplicate orders get confirmed; invalid phones go to ops. Every decision comes with a one-line reason, e.g. *"Confirm on WhatsApp: 42% chance this comes back (Patna: 46% of past COD orders came back; first order; no house number)."* All thresholds and costs can be changed on a Settings screen without code.

Result on September's 329 real orders (the risk score never saw them), scaled to 1,650 COD orders/month:

	₹ / month vs shipping everything	Returns shipped	Genuine orders lost
Ship everything (Marketing)	0	86	0
Cancel risky + block bad pincodes (Ops)	**−₹93,474**	54	35 (28 first-time)
Recommended rules	**+₹9,517** (range −₹16k to +₹25k)	**58**	**4**
Perfect foresight (the ceiling)	+₹73,063	0	0

3. Balancing Operations and Marketing

Both are right about something, and the ₹ shows where:

- **Ops is right** that some orders are bad bets. Junk addresses, fake names and repeat refusers are held, and every high-risk order needs a YES before we spend ₹130 shipping it. Returns shipped fall by a third.
- **Marketing is right** that cancelling a genuine buyer is expensive: **₹612** (₹312 profit + ₹300 to replace them) vs **₹169** for a return. So one wrongly cancelled customer costs as much as ~4 returns. That's why the system **asks instead of cancels**: a WhatsApp message costs under ₹1 and sorts the real buyers from the rest.

- **The trade-off:** we only stop an order when it's clearly more likely to be a return than a real customer, and even then we give the customer a chance to confirm, fix the address or pay online. Ops' plan cuts more returns (32 vs 28) but loses 35 genuine buyers to do it, which is why it's ₹93k/month worse.

4. What could go wrong, and how we'd notice

Risk	How we'd notice
Customers react differently than assumed (e.g. fewer genuine buyers reply), which is the biggest uncertainty (the range is −₹16k to +₹25k)	Dashboard: reply / no-reply / switch-to-prepaid rates per day. Compare with the assumptions weekly and update Settings
Genuine first-time buyers miss the message and get cancelled	"First-time buyers cancelled by us" on the dashboard; complaints; re-orders after a cancellation
Risk score drifts (new cities, festive season, a new ad campaign)	Weekly: predicted vs actual return rate per bucket (they match today: 12% / 34% / 44% / 62%). Retrain monthly
Free AI is slow or down	Automatic fallback to rules (decisions continue); shown on screen
People learn to game it (typing a fake house number)	Return rate of "complete address" orders creeping up

5. Next two weeks

1. **Go live with a 10% control group** that is shipped as today. It's the only way to measure the real effect and pin down the −₹16k to +₹25k range.
2. **Connect the real pipes:** Shopify order webhook → decision → tag the order; WhatsApp Business API (Interakt / Gupshup); courier delivery status back in, so the dashboard uses real outcomes instead of estimates.
3. **Customer history by phone number** across orders (the current "past orders" field is unreliable), plus a proper pincode database.
4. **Test ₹30 vs ₹50** prepaid discounts, and a ₹99 "token prepaid" for high-risk orders.
5. **Stop test orders reaching the courier** (11 did; 9 came back).

Details in the repo's docs/ folder: MONEY_REASONING.md (every policy in ₹), DATA_FINDINGS.md, WHATSAPP_FLOW.md, DECISION_LOG.md.